scientist (the kind of person who no longer has to prove anything) who actively seeks his conversation. A very famous billionaire speculator calls him regularly to ask him his opinion on the valuation of some derivative securities. But there he was obsessively trying to gain the respect of some overpaid hick with a cheap New Jersey "Noo-Joyzy" accent. (Had I been in Nero's shoes I would have paraded some of my scorn to John with the use of body language, but again, Nero is a nice person.)

Clearly, John was not as well educated, well bred, physically fit, or perceived as being as intelligent as Nero – but that was not all; he was not even as street-smart as him! Nero has met true street-smart people in the pits of Chicago who exhibit a rapidity of thinking that he could not detect in John. Nero was convinced that the man was a confident shallow-thinker who had done well because he never made an allowance for his vulnerability. But Nero could not, at times, repress his envy – he wondered whether it was an objective evaluation of John, or if it was his feelings of being slighted that led him to such an assessment of John. Perhaps it was Nero who was not quite the best trader. Maybe if he had pushed himself harder or had sought the right opportunity – instead of "thinking", writing articles and reading complicated papers. Perhaps he should have been involved in the high-yield business, where he would have shined among those shallow-thinkers like John.

So Nero tried to soothe his jealousy by investigating the rules of pecking order. Psychologists Kahneman and Tversky showed that most people prefer to make \$70,000 when others around them are making \$60,000 than to make \$80,000 when others around them are making \$90,000. Economics, schmeconomics, it is all pecking order, he thought. No such analysis could prevent him from assessing his condition in an absolute rather than a relative way. With John, Nero felt that, for all his intellectual training, he was just another one of those who would prefer to make less money provided others made even less.

Nero thought that there was at least one piece of evidence to support the idea of John being merely lucky – in other words Nero, after all, might not need to move away from his neighbor's starter palazzo. There was hope that John would meet his undoing. For John seemed unaware of one large hidden risk he was taking, the risk of blow up, a risk he could not see because he had too short an experience of the market (but also because he was not thoughtful enough to study history). How could

John, with his coarse mind, otherwise be making so much money? This business of junk bonds depends on some knowledge of the "odds", a calculation of the probability of the rare (or random) events. What do such fools know about odds? These traders use "quantitative tools" that give them the odds – and Nero disagrees with the methods used. This high-yield market resembles a nap on a railway track. One afternoon, the surprise train would run you over. You make money every month for a long time, then lose a multiple of your cumulative performance in a few hours. He has seen it with option sellers in 1987, 1989, 1992, and 1998. One day they are taken off the exchange floors, accompanied by oversized security men, and nobody ever sees them again. The big house is simply a loan; John might end up as a luxury car salesman somewhere in New Jersey, selling to the new newly rich who no doubt would feel comfortable in his presence. Nero cannot blow up. His less oversized abode, with its 4,000 books, is his own. No market event can take it away from him. Every one of his losses is limited. His trader's dignity will never, never, be threatened.

John, for his part, thought of Nero as a loser, and a snobbish over-educated loser at that. Nero was involved in a mature business. He believed that he was way over the hill. "These 'prop' traders are dying", he used to say. "They think they are smarter than everybody else, but they are *passé*".

The Red-Hot Summer

Finally, in September 1998, Nero was vindicated. One morning while leaving to go to work he saw John in his front yard unusually smoking a cigarette. He was not wearing a business suit. He looked humble; his customary swagger was gone. Nero immediately knew that John had been fired. What he did not suspect was that John also lost almost everything he had. We will see more details of John's losses in Chapter 5.

Nero felt ashamed of his feelings of *schadenfreude*, the joy humans can experience upon their rivals' misfortune. But he could not repress it. Aside from it being unchivalrous, it was said to bring bad luck (Nero is